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“It is normal for developing countries to import capital goods for growth requirements. But they have to work on increasing the efficiency of imports”



ANIL BHARDWAJ

SECRETARY
GENERAL, FISME

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groups to discuss how this can be reduced. The imports range from chemicals and petrochemicals to pharmaceuticals, textiles yarns and even consumer electronics. (See *Lowering import dependencies*)

The end of the West Asia war may help bring sustained peace to the region and normalise supplies over the next few months. But it has taught India a valuable lesson on the need for self reliance.

PLI schemes are also being reviewed, and nodal ministries are looking at greater local value addition and identifying gaps. There is expectation that the scheme will be expanded to more sectors. The Finance Ministry, which is faced with the final import bill, too has been in talks with industry and is looking at ways to further boost public procurement of domestically produced goods.

Experts and industry players say such measures will

take time to succeed and require strong political will.

Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small and Medium Enterprises (FISME), says the government must identify imports and what is produced domestically and then look at the gaps and try to address these.

FISME recently conducted a study on Leveraging the Capabilities of MSMEs of Telangana to reduce the state's import dependence. It identified 110 products for localisation in Telangana and narrowed it to 53 items imported into the state, including auto components like vehicle accessories, parts of semi-diesel engines; bulk drugs such as penicillin and rifampicin; goods in defence and aerospace, electronics and hardware, engineering goods, FMCG and domestic appliances, health and life sciences and plastics and polymers. The feedback from industry players included the poor state of industrial training institutes that lead to lack of skilled manpower as well as a dearth of testing labs.

Bhardwaj says for successful import substitution, the government will need to support domestic industry in the initial years. “Businesses will only take a risk and move to producing new goods like substitutes for imports if they know there is a market and demand for these. Public procurement conditions can be relaxed enabling more firms to take part in it and sell their goods,” he says. In India, the base of manufacturing remains very low and input costs high, factor markets are uncompetitive and the legal environment remains uncertain, he adds. This is a tricky terrain for firms to navigate.

Palit points out that India is not the only country working on import substitution. Even developed nations like the US and Japan are doing so. “India's challenge is greater as building new capacities of good quality requires large investments, including from the private sector. Large-scale domestic capacities in key areas of import dependency will take a long time to build,” he says.

Till then, he warns, sustaining such investments, especially government investments, may not be easy, as these resources also need to be deployed elsewhere.

Dhar emphasises that the problem is not high imports but low exports. “We are just not exporting enough. There needs to be value addition of imports, and products need to be exported in a price competitive manner.”

In this special issue, *BT* explores India's import dependencies across sectors and whether a transition to greater domestic manufacturing is possible over the next few years. Experts weigh in on the pros and cons of this import dependence and possible solutions. Read on. **BT**

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